UNKI MINES (PVT) LTD
versus
ZIMBABWE REVENUE AUTHORITY
and
STANBIC BANK ZIMBABWE LIMITED
and
ECOBANK ZIMBABWE LIMITED

HIGH COURT OF ZIMBABWE
MUSHURE J
HARARE, 20 March, 15 September, 3 & 21 November 2025

Opposed application-confirmation of a provisional order

M Tshuma, for the applicant
K. M. Kachambwa, for the first respondent
No appearance for the second and third respondents

MUSHURE J:

INTRODUCTION

[1] In this application, the applicant, a registered company carrying out mining activities in Zimbabwe, approached this court on an urgent basis seeking the following order: -

> "**TERMS OF FINAL ORDER SOUGHT**
> That you show cause to this Honourable Court why a final order should not be made in the following terms:
> 1. The provisional order be and is hereby confirmed.
> 2. It be and is hereby declared that the 1st Respondent is barred from pursuing collection measures pursuant to its letter of the 4th of September 2024.
> 3. The Respondent shall pay the Applicant's costs of suit.
>
> **INTERIM RELIEF GRANTED**
>
> Pending resolution of this matter on the return date:
>
> 1. Pending the return date, the 1st Respondent be and is hereby interdicted from instituting or pursuing any and all collection measures and garnishing the Applicant's accounts relating to the purported outstanding income tax obligations.
> 2. Pending the return date, the 2nd and 3rd Respondents be and are hereby enforcing any garnishee orders issued by the 1st Respondent (*sic*)
>
> **SERVICE OF THE PROVISIONAL ORDER**

> The Applicants or their legal practitioners or any employee thereof shall be authorised to serve a copy of this Provisional Order on the Respondents."

[2] The application was strenuously opposed by the first respondent, an administrative authority responsible for collecting taxes, statutory dues and fees in terms of the Revenue Authority Act [*Chapter 23:11*]. The second and third respondents have not participated in this suit.

[3] According to the applicant, at the hearing of the urgent chamber application, the parties had agreed to explore the possibility of an out of court settlement. Consequently, the matter was removed from the roll. The parties had agreed that should the matter be re-enrolled, it would proceed as an ordinary application. The out of court settlement discussions failed to yield the expected outcome, hence the application was re-enrolled for argument.

[4] It was on the understanding that the narrated factual background as explained above was the correct status of this matter that it was initially argued before me on 20 March 2025. Thereafter, I reserved judgment. As I was preparing the judgment, I found it prudent to refer to the actual order that had removed the urgent chamber application from the roll. All I had were submissions relating to the removal of the matter from the roll but the actual order was not in the consolidated record. My checks in the case portal were in vain, as the actual order was nowhere to be found. I then requested the registrar to check if any documents or orders issued in the matter could have been omitted or were pending approval in the registry. Pursuant to this request, the registrar uploaded two orders which had been issued in this matter.

[5] The first order, issued on 27 September 2024, removed the urgent chamber application from the roll. This was in line with the submissions made before me by the applicant. It however turned out that a second order by consent had been issued by KWENDA J on 2 December 2024. This order is couched as follows:

> "**TERMS OF FINAL ORDER SOUGHT**
> That you show cause to this Honourable Court why a final order should not be made in the following terms:
>
> 1. The interdict be and is hereby confirmed pending determination of any outstanding dispute concerning the applicant's tax obligation by the competent authority.
> 2. Costs.
>
> **INTERIM RELIEF GRANTED**

Pending determination of this matter, the Applicant is granted the following relief-

BY CONSENT Pending the return date,

1. The 1st respondent be and is hereby interdicted from instituting recovery measures against the applicant or garnishing the applicant's accounts relating to the disputed income tax obligations.
2. The applicant shall file its answering affidavit and heads of argument no later than the 7th of February 2025.
3. The 1st respondent shall file its heads of argument no later than the 21st of February 2025.
4. The return date shall be set in liaison with the assistant to the Senior Judge responsible for the Civil Division of the High Court, Harare.

SERVICE OF THE PROVISIONAL ORDER
Service of this order shall be in terms of the High Court rules."

[6] This was the order on the basis of which the parties had proceeded to file heads of argument in this matter and sought the set down of the application. Yet, none of the parties related to it. The impression created was that when the matter was placed before me, its current state was that it had been removed from the roll. Resultantly, the arguments had been motivated on the backdrop of the original final order that the applicant had been seeking when it filed its application on 27 September 2024. None of the arguments related at all to the terms of the final order to be sought as captured in the 2 December 2024 provisional order.

[7] Noting the anomaly, I recalled the parties on 15 September 2025 for an explanation. Both Mr *Tshuma*, for the applicant and Mr *Kachambwa*, for the first respondent, expressed surprise on not only the contents of the order but its very existence. They stated that the terms of the final order they were seeking were different from what the 2 December 2024 order stated. Their respective positions did not detract from the fact that there was an extant order of the court which spoke to a relief diametrically different to their arguments.

[8] As a way forward, the parties agreed that the matter be removed from the roll while they sought correction of the 2 December 2024 order to reflect their true intention. This was duly done and a corrected order was issued, reflecting that the applicant is seeking the following final order:

"**TERMS OF FINAL ORDER SOUGHT**
That you show cause to this Honourable Court why a final order should not be made in the following terms:

1. The provisional order be and is hereby confirmed.
2. It is hereby declared that the 1st Respondent is barred from pursuing collection measures pursuant to its letter of the 4th of September 2024.
3. The Respondent shall pay the Applicant's costs of suit."

INTERIM RELIEF GRANTED

Pending determination of this matter, the Applicant is granted the following relief-

BY CONSENT,

4. The 1st respondent be and is hereby interdicted from instituting recovery measures against the applicant or garnishing the applicant's accounts relating to the disputed income tax obligations.
5. The applicant shall file its answering affidavit and heads of argument no later than the 7th of February 2025.
6. The 1st respondent shall file its heads of argument no later than the 21st of February 2025.
7. The return date shall be set in liaison with the assistant to the Senior Judge responsible for the Civil Division of the High Court, Harare.

SERVICE OF THE PROVISIONAL ORDER

The Applicants or their legal practitioners or any employee thereof shall be authorised

to serve a copy of this Provisional Order on the Respondents"

[9] The corrected order was brought to my attention. It was accompanied by a request for me to hand down the judgment that I had previously reserved. On 3 November 2025, I invited the parties to make any further submissions if they so wished in light of the corrected order. Save for minor submissions 'clarifying' the statutory position on what would constitute a valid notice of assessment, the parties largely abided by their submissions made on 20 March 2025.

BACKGROUND

[10] In order to give context to the application before me, I set out below the facts giving rise to the contestation between the applicant and the first respondent. The applicant is a holder of a special mining lease agreement with the Government of Zimbabwe. Acting on the basis of s 22 of the Income Tax Act [*Chapter 23:06*] as read with paragraph 11(1) of the 22nd Schedule to the same Act, the applicant elected to maintain all its books and records relating to this special mining lease agreement in United States dollars ('USD'). This position obtains to date.

[11] Following the introduction of subsection (10) to s 4A of the Finance Act [*Chapter 23:04*] by Act 10 of 2020, the applicant, is required, by operation of the law, to remit a certain percentage of its income to the country's central bank, the Reserve Bank of Zimbabwe (RBZ). This requirement, commonly known as the RBZ retention scheme, currently requires the applicant to remit 30% of its foreign currency income to RBZ. At the material time, the retention rate stood at 25%. That income was, and still is, then liquidated into the local currency.

[12] From 2020, the applicant was submitting its tax returns to the first respondent manually. This is because the first respondent's tax administration system through which the applicant was required to submit returns to the first respondent did not have provision for the submission of USD returns. The first respondent later introduced a new system, known as the Tax and Revenue Management System ('TaRMS'). With the introduction of TaRMS, the applicant's returns covering 2020 to 2022 were migrated to TaRMS. According to the first respondent, a USD 'debt' which had accumulated from the then 25% local currency payments made during the same period was automatically generated into the applicant's account. Simultaneously, an 'overpayment' of the same amount in local currency was also automatically generated in the applicant's account. In other words, the applicant's account reflected a deficit of USD tax payments and a surplus of local currency tax payments.

[13] Believing this to be a misallocation error, the applicant wrote a letter to the first respondent on 29 February 2024 requesting a configuration of TaRMS so that it would allocate local currency payments made on the income tax account to the USD return that it had submitted. In making this request, the applicant reasoned that it was subject to the RBZ retention scheme, hence by operation of s 4A(10) of the Finance Act, it was empowered to pay its income tax obligation on the portion liquidated by RBZ in local currency. It reasoned, further, that it had been paying its tax obligations in line with the retention ratio of 75% USD and 25% local currency. It was however submitting all its income tax returns in USD, per its election.

[14] The first respondent responded to that letter on 12 March 2024, advising the applicant that since it elected to maintain its records in foreign currency, the tax was supposed to be remitted in USD per the provisions of paragraph 11(2) of the 22nd Schedule to the Income Tax Act. The first respondent also advised that the applicant was not covered

under s 4A of the Finance Act. It gave the applicant seven days to pay up the tax. Several correspondences and engagements ensued between the applicant and the first respondent. The issue dragged on for several months, with the parties haggling over which law applied. The first respondent was insisting on the one hand that paragraph 11(2) of the 22nd Schedule to the Income Tax Act was applicable, while the applicant contended, on the other hand, that s 4A(10) of the Finance Act was applicable.

[15] On 4 September 2024, the first respondent reiterated, through another letter, its earlier directive that the applicant settles its tax obligations within seven days, prompting the applicant to first approach the Ministry of Finance and Economic Development for reprieve and then the court on an urgent basis.

[16] In its application, before turning to the merits of the matter, the applicant argued, in *limine*, that the first respondent computed and demanded the payment of what it believed to be outstanding taxes through a letter as opposed to a formal notice. Resultantly, the applicant argued, the 'assessment' done through a letter was unlawful and procedurally unfair. On the merits, the central issue related to the interpretation and application of paragraph 11(2) of the 22nd Schedule to the Income Tax Act and s 4A(10) of the Finance Act.

[17] In response, the first respondent asserted that the applicant failed to properly comprehend what constitutes an assessment in its two broad forms, namely one done by the taxpayer which is a self-assessment and the other done by the first respondent's Commissioner. The first respondent asserted, further, that the assessment in *casu* was a self-assessment. It was the first respondent's submission that the self-assessment was valid so there was no basis for arguing that the assessment was procedurally irregular. The first respondent insisted on its position that paragraph 11 of the 22nd schedule to the Income Tax Act, and not s 4A (10) of the Finance Act, applied to the applicant.

[18] At the hearing of this application, Mr *Tshuma* submitted that the first respondent had already seized over US$8 million from the applicant's account. He submitted that this was despite the first respondent's undertaking at the hearing of the urgent chamber application that no collection measures would be effected during the parties' negotiations for the tax debt. He suggested that the matter be postponed until such a time when the first respondent, who to the applicant had dirty hands, had returned the funds to the applicant's account. In turn, Mr *Kachambwa* indicated that the seizure of the funds had

not been done intentionally. Rather, the funds had been deducted automatically by TaRMS because it is configured in such a manner that it automatically deducts any tax debts appearing in the system. Mr *Kachambwa* undertook to have the transaction reversed. The parties then agreed that the matter be argued.

[19] By and large, the parties' submissions were on the basis of the facts and their respective positions as summarised in the background I have set out above.

ISSUES FOR DETERMINATION

[20] From the written and oral arguments made by the parties, two issues arise for determination. These are: -

1. Whether or not there was a valid assessment and
2. Whether paragraph 11 of the 22nd Schedule to the Income Tax Act or s 4A (10) of the Finance Act is applicable.

[21] I will now analyse these issues, starting with the preliminary point relating to the assessment.

WHETHER OR NOT THERE WAS A VALID ASSESSMENT

[22] The position of the law is that there must be a valid assessment. The absence of an assessment which complies with the law renders such an assessment invalid: See generally *Zimbabwe Platinum Mines (Pvt) Ltd* v *Zimbabwe Revenue Authority* S-159-21 and *Nestle Zimbabwe (Pvt) Ltd* v *Zimbabwe Revenue Authority* S-148-21.

[23] The applicant's main contention in *casu* is that the first respondent issued an assessment which is contrary to the provisions of s 51 of the Income Tax Act. That section provides:

> **"51 Assessments and recording thereof**
> (1) All assessments required to be made under this Act shall, subject to section four, be made by the Commissioner or under his direction.
> (2) Notice of assessment and of the amount of tax payable, where tax is payable, shall be given to the taxpayer assessed.
> (3) The Commissioner shall, in the notice of assessment, give notice to the taxpayer that any objection to the assessment must be sent to him within thirty days after the date of such notice.
> (4) Complete copies of all notices of assessment shall be filed in the office of the Commissioner or such office as he may designate:

> Provided that any copy of a notice of assessment so filed may be destroyed by the Commissioner after the expiration of a period of six years from the date of issue of such notice of assessment."

[24] This court had occasion to expound on the import of s 51 in *PPC* v *ZRA* HH-423-18 at pp. 5-6 in the following terms:

> "The assessment referred to in this section is carried out by ZRA. Section 51 specifies the steps to be taken by the ZRA after it has carried out an assessment. After carrying out the assessment, it is required to give notice of the assessment to the tax payer, where tax is payable. The Commissioner is required to advise the taxpayer that any objections to the assessment may be sent to him within 30 days of the notice. The objective of s 51(2) is to notify the taxpayer of the tax payable and give him an opportunity to challenge the tax assessment should he wish to do so. The notice of assessment referred to in s 51(2) speaks to notice of assessment and of the amount of tax payable…."

[25] Earlier on, at p. 5 of the same judgment, DUBE J (as she then was), had defined an assessment thus:

> "An assessment is a process where credits due to a taxpayer are assessed and credited to a taxpayer. The balance that remains after an assessment is the taxable income. The assessment to determine the taxable income may be done by ZRA. The definition of assessment also includes a self-assessment by the taxpayer."

[26] Section 2 of the applicable Income Tax Act defined an assessment as 'the determination of taxable income and of the credits to which a person is entitled… or the determination of an assessed loss ranking for deduction; and includes a self-assessment in terms of section thirty-seven A'. See also *PPC* v *ZRA supra* at p. 5 and *Delta Beverages (Pvt) Ltd* v *Zimbabwe Revenue Authority* HH-577-23 at p. 3.

[27] The above cited cases reinforce the legal position that there are two forms of assessment for the purposes of the Income Tax Act, namely an assessment done by the first respondent in terms of s 51 and also a self-assessment carried out in terms of s 37A of the Income Tax Act. For completeness, s 37A(1) provides that: -

> "(1) Every taxpayer specified in a notice published by the Commissioner-General as a taxpayer or member of a class of taxpayers to whom this section is to apply for any year of assessment (hereafter in this section called a "specified taxpayer") shall, not later than four months after the end of the tax year (or, if the Commissioner-General has exercised his or her discretion in relation to any specified taxpayer under section 37(13) to accept some date, other than the end of a year of assessment, as the date on which the tax payer concerned makes up his or her annual accounts, not later than four months after the end of that other date)—
> (a) furnish the Commissioner-General with a self-assessment return in the prescribed form reflecting such information as may be required for the calculation of tax payable in respect of that year in terms of section 7(2); and

> (b) calculate the amounts of such tax in accordance with section 7(2) and pay the tax payable to the Commissioner-General or calculate the amount of any refund due to the taxpayer."

[28] So, s37 A (1) of the Income Tax Act specifically provides for a self-assessment. In terms of s 37A(10) of the Income Tax Act, where a taxpayer furnishes the Commissioner-General with a self-assessment return, which in terms of that section must be accompanied by the relevant supporting documents, the taxpayer is deemed to have made an assessment of his or her or its taxable income and the tax payable on that taxable income for the applicable year. Further, in terms of s 37A(11), the assessment is treated as an assessment that has been served on the taxpayer by the Commissioner-General on the due or actual date of furnishing the return, whichever is the later. Essentially, the self-assessment is deemed to be an assessment made by the Commissioner-General: *Bath* v *Zimbabwe Revenue Authority* 2020 (2) ZLR 477 (H) at p481A.

[29] In the matter before me, it is not in dispute that the applicant furnished the first respondent with self-assessment returns. By operation of the law, such assessments are deemed to be assessments made by the Commissioner-General and are therefore binding on the applicant.

[30] The point of departure between the parties is the effect of the Commissioner-General's 12 March 2024 letter and the form that it should have taken. I deduce the applicant's contention to be that by issuing the letter as it did, the first respondent was conducting a review. I further deduce the applicant's additional contention to be that while the Income Tax Act permits the first respondent to review a self-assessment, such powers can only be exercised in terms of s 37A(12), s 46 and s 47 of the Income Tax Act. If merit is found in the applicant's contention, the applicant further contends that a notice of assessment should be issued detailing the amount of tax due and informing the taxpayers of its right to object to the assessment within 30 days of receiving the notice, paving the way for the jurisdiction of the Special Court for Income Tax Appeals to be ultimately engaged should the need arise.

[31] For completeness, s 37A(12) of the Income Tax Act provides that:

> "(12) Notwithstanding subsection (1), the Commissioner-General may make an assessment under section 46 and 47 on a specified taxpayer in any case in which the Commissioner-General considers necessary."

[32] Therefore, s 37A(12) empowers the Commissioner-General to review a self-assessment. If the Commissioner-General decides to do so, he acts in terms of s 46 and s 47 of the Act. It is the applicant's argument that since the first respondent took the view it owed taxes in USD, it should have issued an amended additional foreign currency assessment in accordance with the provisions of s 47 of the Income Tax Act. It reads:

> "(1) If the Commissioner, having made an assessment on any taxpayer, later considers that—
> *(a)* an amount of taxable income which should have been charged to tax has not been charged to tax; or
> *(b)* in the determination of an assessed loss—
> (i) an amount of income which should have been taken into account has not been taken into ac-count; or
> (ii) an amount has been allowed as a deduction from income which should not have been allowed; or
> *(c)* any sum granted by way of a credit should not have been granted;
> he shall adjust such assessment so as to charge to tax such amount of taxable income or to reduce such assessed loss or to withdraw or vary such credit, and if any tax is due either additionally, or alternatively, call upon the taxpayer to pay the correct amount of tax…."

[33] My reading of s 47 of the Income Tax Act is that its application is triggered by an additional assessment. I have already alluded to the definition of an assessment to be the determination of the taxable income and of the credits to which a person is entitled. An assessment is also defined as the determination of an assessed loss ranking for deduction. The Commissioner-General is empowered to issue an assessment in addition to a self-assessment. It becomes an additional assessment in the sense that the self-assessment done is already considered to be the Commissioner-General's own assessment.

[34] What activates the operation of s 47 has already been pronounced upon by MAFUSIRE J in *Delta Beverages (Pvt) Ltd* v *Zimbabwe Revenue Authority* HH-577-23 at p. 10 of the cyclostyled judgment thus:

> "With regards to income tax, and in terms of s 47 of the Income Tax Act, what triggers the additional assessments, is the consideration by the respondent's Commissioner that an amount of taxable income which should have been charged to tax was not charged to tax, or that an amount which should have been taken into account in the determination of an assessed loss was not, or that an amount was incorrectly allowed as a deduction. If the Commissioner comes to such conclusion, the respondent is obliged to adjust the assessment."

[35] In *casu*, the Commissioner-General was furnished with self-assessments done by the applicant. Those self-assessments stated the amounts taxable. Those amounts were in United States dollars. The self-assessments were accepted by the Commissioner-General.

They became the Commissioner-General's assessments served on the applicant. At the point of payment, the applicant then decided to pay 25% of the assessed tax in local currency. It was purportedly acting in accordance with the retention ratios under the RBZ retention scheme. Upon migration to TaRMS, the system detected that there were outstanding taxes in USD, and an overpayment in local currency taxes. This reflected in the applicant's account, upon which the applicant wrote a letter to the first respondent requesting it to configure TaRMS so that it would allocate local currency payments the applicant had made on the income tax account to the USD return that it had submitted.

[36] It is in response to the applicant's request that the first respondent stated that since the applicant had elected to maintain its records for tax purposes in USD, the tax should be remitted in USD. It then instructed the applicant to make arrangements to settle the outstanding income tax obligation within seven days of that letter. In my view, the first respondent's response cannot be said to have been an additional assessment requiring the issuance of a formal notice. The first respondent was simply responding to a request that had been made by the applicant and advising the applicant that its request could not be acceded to because the applicant had elected to maintain its records for tax purposes in USD and tax was payable in USD per the applicant's own returns.

[37] I am not inclined to agree with the applicant's argument that the letter was actually an additional assessment. To me, an additional assessment would have involved a relook at the self-assessment through the determination or consideration of the taxable income and tax payable. In *casu*, the self-assessment was not impugned by the first respondent. In fact, the first respondent relied on the declarations made by the applicant in those self-assessments to deduce the taxable income and tax payable. There is nothing to suggest that the first respondent reassessed the self-assessments done by the applicant. There is nothing to suggest that the self-assessments were revised. In my view, stating that the self-assessed taxable income had to be paid in the declared currency is not an additional assessment, neither does it require an additional assessment because an assessment is already there. There was nothing to add or subtract from the self-assessments since there was no anomaly with the self-assessments. The real issue is that the tax declared in the self-assessments was not paid in the currency declared therein.

[38] For this reason, I take the view that there was no need for the issuance of an additional assessment. I therefore do not find merit in the applicant's argument.

[39] A further argument is made that the first respondent, having discovered that that the applicant was making payments in local currency instead of USD, and that the applicant had underpaid its foreign currency payments and overpaid the local currency obligations, it ought to have, in terms of s 48 of the Income Tax Act, issued a reduced assessment. The relevant portion of that section reads:

> **"48 Reduced assessments and refunds**
> (1) If it is proved to the satisfaction of the Commissioner that any person has been charged with tax in excess of the amount properly chargeable under this Act, the Commissioner shall issue an amended assessment reducing the tax so charged and, if necessary, authorise a refund to such person of any tax overpaid…"

[40] I am not persuaded by the applicant's argument for the following reasons. It is my understanding that s 48 applies where a person has been charged tax in excess. When such happens and it is so proved to the Commissioner's satisfaction, the Commissioner is required, in terms of the law, to issue an amended assessment. In my view, where the tax payable as declared in a self-assessment is not in dispute, there cannot be talk of excess tax. Neither can there be talk of reduced tax. What activates the issuance of an amended assessment is an excess charge of tax, not the deposit of an amount of tax in a different currency, on a taxpayer's own volition, based on his or her or its comprehension of the position of the law. In this matter, the first respondent did not adjust any assessment, it simply indicated the currency of payment, based on the applicant's own return.

[41] I find that the first respondent did not tamper with, alter or review the applicant's self-assessments to trigger the need to issue an amended or reduced assessment. The applicant's argument lacks merit in this regard.

[42] In the ultimate, it is my finding that on the facts of this case, the need to issue either an additional or an amended (or reduced) assessment did not arise. It is my finding, further, that the applicant's preliminary argument that the first respondent did not issue a valid assessment is without basis and stands to be dismissed.

WHETHER PARAGRAPH 11 OF THE 22ND SCHEDULE TO THE INCOME TAX ACT OR SECTION 4A (10) OF THE FINANCE ACT IS APPLICABLE

[43] The applicant seeks a confirmation of the provisional order issued by this Court on 2 December 2024 as corrected on 6 October 2025. The provisional order interdicted the first respondent from instituting recovery measures against the applicant, and garnishing

the applicant's accounts relating to the disputed income tax obligations. In paragraph 2 of the terms of the final order sought, the applicant's prayer is for this court to declare that the first respondent is barred from pursuing collection measures pursuant to its letter of the 4th of September 2024. If I have correctly construed the second part of the terms of the final order sought, then what the applicant is essentially seeking is an order barring the first respondent from pursuing collection measures once I confirm the provisional order.

[44] At this stage of the proceedings, the disposition of the matter before me hinges on whether or not the requirements for a final interdict have been satisfied. It is a settled position of the law that a party seeking a final interdict must satisfy three key requirements namely;

i. A clear right;
ii. An injury actually committed or reasonably apprehended; and '
iii. The absence of similar protection by any other ordinary remedy.

See *Setlogelo* v *Setlogelo* 1914 AD 221 at p227, *Bulawayo Dialogue Institute* v *Matyatya NO & Ors* 2003 (2) ZLR 79 (H) and *Minister of Local Government* v *Mudzuri & Anor* 2004 (1) ZLR 223 (H).

[45] The scholars Cilliers AC, Loots C and Nel HC in *Herbstein and van Winsen, The Civil Practice of the High Courts and the Supreme Court of Appeal of South Africa,* state that whether the applicant has a right is a matter of substantive law. An applicant seeking a final interdict must establish, on a balance probabilities, facts and evidence which prove a clear right in terms of substantive law. That right must be a right which can be protected, it must be one that is enforceable in law[1].

[46] In the instant case, the contestation between the parties in this matter finds its genesis in the interpretation and application of s 4(10) of the Finance Act and paragraph 11(2) of the 22nd schedule to the Income Tax Act. Before this court, Mr *Tshuma*'s argued that s 4A(10) of the Finance Act was enacted to regulate how tax should be paid in light of the RBZ liquidation requirements introduced after the enactment of the 22nd Schedule to the Income Tax Act. It was his argument that the Income Tax Act should not be read in

[1] Cilliers AC, Loots C and Nel HC, *Herbstein and van Winsen, The Civil Practice of the High Courts and the Supreme Court of Appeal of South Africa*, 5th Ed., (Juta & Co. Ltd, Cape Town, 2009) Vol. 2 p. 1458

isolation, but it should be read together with the Finance Act in order to arrive at the true intention of the Legislature. He contended that if there was any ambiguity arising from the interpretation of the two statutes then, in line with the *contra fiscum* rule, the provisions must be interpreted in favour of the taxpayer.

[47] *Per contra*, Mr *Kachambwa* argued that the amount retained and liquidated in local currency in compliance with the RBZ retention scheme is income derived from special mining lease operations and as such, that amount remains taxable in terms of the 22nd schedule to the Income Tax Act. Counsel submitted that in terms of the Schedule, where the holder of a special mining lease agreement has elected to maintain its records in United States dollars, tax can only be paid in United States dollars. He submitted, further, that the liquidated amount should be converted to United States dollars in order to comply with the provisions of the law. He asserted that the *generalia specialibus non derogant* maxim was applicable in the circumstances. It was his averment that in line with that maxim, s 4A(10) of the Finance Act, which was a provision of general application, could not override the 22nd Schedule to the Income Tax Act which is an earlier enactment specifically dealing with the assessment and payment of tax by a holder of a special mining lease agreement.

[48] Before I analyse the competing arguments, I turn to look at the law in relation to interpretation of tax statutes.

[49] There is a respectable body of authority in this jurisdiction and beyond to the effect that in interpreting a tax statute, the court ought to look at what the statute clearly states and the language used. There is no room for presumptions and intendment. In the case of *Heywood Haulage Investments Central Africa (Pvt) Ltd* v *Commissioner-General, Zimbabwe Revenue Authority* 2011 (1) ZLR 428 (H) at 431H-432B, the court enunciated this position in the following terms: -

> "It appears to me that, in interpreting tax legislation, one must give effect strictly to the words used by the legislature. In *Loewenstein* v *CoT* 1956 R & N 502; 1956 (4) SA 766 (FS) at 772B MURRAY CJ quoted LORD CAIRNS in *Partington* v *A-G* 21 LT at p 375 as follows:
>
> > "I am not at all sure that in a case of this kind – a fiscal case – form is not amply sufficient, because as I understand the principle of all fiscal legislation it is this: if the person sought to be taxed comes within the letter of the law, he must be taxed, however great the hardship may appear to the judicial mind to be. On the other hand, if the Crown, seeking to recover the tax, cannot bring the subject within the letter of the law, the subject is free however apparently within the law the case might otherwise appear to be. In other words, if there be an equitable construction, certainly

> such a construction is not admissible in a taxing statute, where you can simply adhere to the words of the statute."

And in *Cape Brandy Syndicate* v *IRC* [1921] 1 KB 64 ROWLATT J said:

> "In a taxing case one has to look merely at what is clearly said. There is no room for any intendment. There is no equity about a tax. There is no presumption as to a tax. Nothing is to be read in common; nothing is to be implied. One can only look fairly at the language used"."

[50] Further, in *M.M.W. (Pvt) Ltd* v *Zimbabwe Revenue Authority* HH-31-22 at p. 8, the court restated this position in the following manner:

> "In other words, a strict approach is appropriate in interpretation of fiscal legislation – *CVS* v *COT* 1988 (2) ZLR 27 (HC). A taxing statute is not to be interpreted according to "the spirit of the law", nor words to be extended so as to operate against the subject – "*Principles of Legal Interpretation*" (1995) by EA Kellaway at p 341."

[51] Turning to the relevant statutes in this matter, paragraph 11 to the 22nd Schedule of the Income Tax Act reads:

> **"*11 Maintenance of books in foreign currency***
> (1) The holder of a special mining lease may, in the first year of assessment after the issue of his special mining lease, elect to maintain all books and records relating to his special mining lease operations in the currency of the United States of America, and any such election shall be final.
> (2) Where the holder of a special mining lease has made an election referred to in subparagraph (1)—
> (a)any—
> (i) income accruing to the holder and attributable to his special mining lease operations; or
> (ii) expenditure incurred by the holder and constituting an allowable deduction;
> in a currency other than that of the United States of America shall be shown in all books and records relating to his special mining lease operations in that other currency and in the currency of the United States of America; and
> (*b*) the Commissioner shall determine the holder's taxable income or, as the case may be, his assessed loss, for any year of assessment in the currency of the United States of America; and
> (*c*)notice of assessment and of any tax payable shall be given to the holder in the currency of the United States of America; and
> (d) payment of tax shall be effected in the currency of the United States of America; and
> (*e*) the provisions of the special mining lease shall apply in relation to the conversion of any other currency into the currency of the United States of America for the purposes of this paragraph:
>
> Provided that, if there are no such provisions in the special mining lease, the conversion shall be made in accordance with such procedure as the Commissioner may direct either generally or in any particular case."

[52] From my reading of this paragraph, a holder of a special mining lease can elect to maintain its books and records relating to the special mining lease operations in United

States dollars. If the holder so elects, that election is final and binding. Once that election is made, all the income and expenditure and allowable deductions relating to the special mining lease which are in a currency other than in United States Dollars must be shown in that other currency and in United States dollars. In terms of paragraph 11(2)(b), the Commissioner is obliged to determine the taxable income or assessed loss of the holder of a special mining lease agreement in United States dollars. Any notice of assessment and tax payable should be in United States dollars. Payment of tax should also be in United States dollars.

[53] As to the import of this paragraph, the Supreme Court has already pronounced in *Zimbabwe Platinum Mines (Pvt) Ltd* v *Zimbabwe Revenue Authority* S-159-21 at p. 13 that:

> "The appellant elected, at the inception of its operations, to maintain its books of account in USD, in terms of para 11(1) of the 22nd Schedule. In terms of the law, such an election is final. It is common cause that the appellant kept its books of account in USD. Paragraph 11(2)(b) commands the Commissioner of the respondent to determine the taxable income or assessed loss pertaining to the appellant in USD currency."

[54] Commenting on the respondent's assessments that had been undertaken in terms of the Zimbabwean currency, the Supreme Court went on to remark that:

> "The wording of the provisions in para 11 of the 22nd Schedule of the Act is clear and unambiguous. It does not require the court to read anything into the Act in order to derive the intention of the legislature. The respondent could not have validly issued assessments in Zimbabwe dollars where the wording of the statute is peremptory and requires that the assessments be computed in United States dollars."

[55] In my view, although the sentiments of the court were expressed in the context of issuance of assessments, they apply with equal force to the payment of taxes assessed in light of paragraph 11. In my further view, the provisions of paragraph 11(2)(b) are clear. By statutory command, when a holder of a special mining lease agreement who has elected to maintain its books in United States dollars pays tax, such taxes shall be paid in United States dollars. It is also my view that it is not up to either the Commissioner nor the taxpayer to determine the currency of payment as this is clearly and unambiguously statutorily provided. As already pronounced by the Supreme Court in the *Zimbabwe Platinum Mines (Pvt) Ltd* v *Zimbabwe Revenue Authority supra* case, nothing is to be read into paragraph 11 of the 22nd Schedule to derive the intention of the Legislature. That provision is clear and unambiguous.

[56] The question that has now arisen is the place of s 4A(10) of the Finance Act which Mr *Tshuma* argues was promulgated post paragraph 11 to the 22nd Schedule and its specific purpose is to regulate how tax should be paid in light of the RBZ liquidation requirements. The said section is couched in the following terms:

> "(10) Where any person liable to pay tax on income from trade or investment—
> (a) earns any part of such income in foreign currency; and
> (*b*) has any part of such income liquidated and paid in local currency upon transfer to a nostro account, pursuant to a retention scheme operated by the Reserve Bank of Zimbabwe;
>
> any tax due on such part that is liquidated shall be calculated on the basis that it was earned in local currency."

[57] The above provision is pursuant to the RBZ retention scheme, wherein part of the taxable income earned in foreign currency is transferred to a nostro account, liquidated and paid in local currency. Any tax due on the taxable income so liquidated is, by operation of the law, calculated as if it was earned in local currency. See also *Zimbabwe Platinum Mines (Pvt) Ltd* v *Zimbabwe Revenue Authority & Anor supra* at p. 9.

[58] Clearly, while s 4A(10) of the Finance Act deems the foreign currency amount liquidated and paid in local currency to be income in local currency for the purposes of calculating tax, paragraph 11 of the 22nd Schedule of the Income Tax Act obligates a holder of a special mining lease agreement who has elected to maintain its books in United States dollars, regardless of the currency in which the income is earned, to convert such amount to United States dollars and pay tax in United States dollars.

[59] It is common cause that it is on the basis of s 4A(10) of the Finance Act that the applicant paid part of its income tax in local currency.

[60] The first respondent's position is that once the RBZ has liquidated a portion of the applicant's taxable income to local currency, for the purposes of paying tax, the applicant should then convert that liquidated amount into United States dollars. The applicant insists that the Income Tax Act and the Finance Act should complement each other in respect of revenue matters. It argues that per the decision in *Zimbabwe Platinum Mines (Pvt) Ltd* v *Zimbabwe Revenue Authority* S-69-24 at p. 9, the two statutes must be read together so as to derive the true intention of the Legislature. The applicant asserts that it is an established principle of interpretation of statutes that related statutes must be read together. See also *PTC* v *Retrofit (Pvt) Ltd* 1994 (2) ZLR 71 (S).

[61] On the face of it, there seems to be a clear contradiction between the provisions of s 4A(10) of the Finance Act and paragraph 11 of the 22nd Schedule to the Income Tax Act. In light of the potential conflict of provisions, I have been invited, by the applicant, to rely on the *contra fiscum* rule, and by the first respondent, to pay due regard to the *generalia specialibus non derogant* maxim in the determination of the dispute between the parties.

Application of the *contra fiscum* rule and the *generalia specialibus non derogant* maxim in this matter

[62] As regards the *contra fiscum* rule, in *M.M.W. (Pvt) Ltd* v *Zimbabwe Revenue Authority supra* at p 8 & 9, the court elaborated on this rule thus:

> "However, in cases where there an ambiguity in tax legislation, the ambiguous provision must be interpreted in a manner that favours the taxpayer. This is the contra fiscum rule. The complete expression is in "*in dubio contra fiscum*" – Glen Anil Development Corporation Ltd v Commissioner for Inland Revenue 1975 (4) SA 715 (A).
> An extension to this principle is that where a provision is capable of two reasonable constructions, the court will adopt the interpretation that imposes the smaller burden on the taxpayer – Badenhorst v CIR 1995 (2) SA 207 (N) at p 215 and AB CC v CSARS [2014] ZATC 4 (9 December 2014)." [Emphasis mine]

[63] The *contra fiscum* rule is a common law principle which applies where there is an ambiguous tax legislation or where a provision in tax legislation is capable of two reasonable constructions. If there is such an ambiguity, the ambiguous provision must be interpreted in a manner that favours the taxpayer or imposes a smaller burden on the taxpayer: See *Endeavour Foundation & Anor* v *Commissioner of Taxes* 1995 (1) ZLR 339 (S) at 362 D-E.

[64] I could be persuaded to rely on the c*ontra fiscum* rule for the reason that it would appear inconceivable that the Legislature would expect a taxpayer to contribute foreign currency to the RBZ retention scheme and still expect the same taxpayer to pay tax denominated in foreign currency on the amount liquidated under the scheme. Obviously, an interpretation that imposes a lesser burden on the applicant would not only be reasonable but sensible and favourable for doing business in Zimbabwe.

[65] I could also be persuaded to conclude that an interpretation that s 4A(10) of the Finance Act does not apply to the applicant would lead to a result that is not only absurd but unconscionable because the law cannot command that holders of special mining lease

agreements remit a portion of their foreign currency income to the Reserve Bank of Zimbabwe and at the same time, command the same holders to pay tax for that remitted foreign currency in foreign currency under circumstances where the foreign currency income would have been liquidated into local currency.

[66] However, given the circumstances under which the *contra fiscum* rule is invoked, the question that has exercised my mind is whether or not there is really any ambiguity or doubt triggering its application in this matter. In order to ventilate this question, I turn now to consider the *generalia specialibus non derogant* maxim.

[67] Simply put, the maxim means that general provisions do not derogate from special provisions. In *Zimbabwe Revenue Authority* v *Trustus (Pvt) Ltd* HH-820-22 the court noted:

> "In the case of *R* v *Gwantshu* 1931 EDL 29, at 31 GUTSCHE J said the following:
>
> > "The general maxim is *generalia specialibus non derogant*. 'When the Legislature has given attention to a separate subject and made provision for it, the presumption is that a subsequent general enactment is not intended to interfere with the special provision, unless it manifests that intention very clearly. Each enactment must be construed in that respect according to its own subject matter and its own terms', per LORD HOBHOUSE delivering the judgment of the Privy Council in *Barker v Edger* [1898] AC at p 754. … *Having already given its attention to the particular subject and provided for it, the Legislature is reasonably presumed not to alter that special provision by a subsequent general enactment unless that intention be manifested in explicit language*."" [my emphasis]
>
> See also *Bubye Minerals (Pvt) Ltd* v *Minister of Mines & Ors* 2011 (2) ZLR 384 (S) at p396E-F.

[68] The principle applies where there are general and specific provisions governing the same issue in two different statutes that are in *pari materia*. Under such circumstances, the specific provision takes precedence over the general provision. See *Combined Harare Residents Association and Another* v *Zimbabwe Electoral Commission and Another* HH-286-25 at p. 7.

[69] Paragraph 11 of the 22nd Schedule to the Income Tax Act specifically provides for the maintenance of books and payment of taxes by holders of a special mining lease agreement. Section 4A(10) to the Finance Act is a general provision making provision for the revenue and public funds for Zimbabwe. As such, invoking a plain application of the principle, paragraph 11 of the 22nd Schedule to the Income Tax Act would take

precedence over s 4A(10) of the Finance Act. To quote the *dictum* in *Kovi* v *Ashanti Goldfields Zimbabwe Ltd & Anor* 2007 (2) ZLR 354 (H) at p. 363F-H:

> "He asked me to call in aid the rule of interpretation that *generalia specialibus non derogant*. This rule was discussed in *Wizard Pools (Pvt) Ltd* v *Mashonaland Turf Club* 1996 (2) ZLR 293 (S) and the cases therein cited at page 296G-297A. It was discussed in most and applied in some of these cases, which all dealt with conflicting statutes. The discussion centered on whether a general statute that was promulgated after a special statute could override the special statute. The general rule was that it could not but there were exceptions to the maxim. In the *Wizard* case, *supra* MCNALLY JA at 300G interpreted the words to mean "general provisions do not override pre-existing particular provisions'' and compared his interpretation to the one by *Claassen's Dictionary* that "general provisions do not derogate from special". [Emphasis added]

[70] The general rule is that, a general statute that was promulgated after a special statute cannot override the special statute. I have already noted that paragraph 11 of the 22nd Schedule of the Income Tax Act is a special provision making specific provisions in relation to a holder of a special mining lease agreement. Section 4A(10) of the Finance Act is a general provision promulgated after paragraph 11 of the 22nd Schedule. Per the *generalia specialibus non derogant* maxim, s 4A(10) of the Finance Act cannot override paragraph 11 of the 22nd Schedule to the Income Tax Act.

[71] However, to every rule there is an exception. The exception to this principle would apply where the Legislature, through explicit language, makes its intention known that the general provision should override the special provision. From my reading of s 4A(10) of the Finance Act, there is nothing to suggest such an intention. Section 4A(10) does not explicitly state that it overrides the provisions of paragraph 11 of the 22nd Schedule. I have earlier on in this judgment referred to the provisions of paragraph 11 which speak to the requirement for conversion and payment of taxes in United States dollars despite the currency in which a holder of a special mining lease agreement receives its taxable income. In my view, this conversion requirement adequately and clearly makes provision for instances where the applicant is inviting the court to invoke the *contra fiscum* rule. In my further view, this specific provision in the specific statute, the Income Tax Act, does not suggest any ambiguity. I take the view that this is not an appropriate case where one can conclude that there is an ambiguity triggering the application of the *contra fiscum* rule merely because the construction in paragraph 11 would be more onerous than the construction in s4A (10) of the Finance Act. I am satisfied that in this case, the *generalia specialibus non derogant* maxim prevails.

[72] I am fortified in my understanding above by the provisions of s 22 of the Income Tax Act which reinforce the specific nature of paragraph 11 of the 22nd Schedule. It provides that:

> "(1) In the case of the holder of a special mining lease, that part of the holder's taxable income or assessed loss, as the case may be, which is attributable to special mining lease operations for a year of assessment shall be determined in accordance with the Twenty-Second Schedule.
> (2) If the holder of a special mining lease derives income from any trade other than special mining lease operations, that part of his taxable income or assessed loss, as the case may be, which is attributable to that other trade shall be determined in accordance with the general provisions of this Act." [my emphasis]

[73] Section 22 specifically provides that the taxable income of a special mining lease holder shall be determined in accordance with the 22nd Schedule. The provision then provides for instances wherein the income tax of a special mining lease holder may not be determined in terms of the 22nd Schedule. Consequently, any taxable income from operations outside the confines of a special mining lease may then be determined by the general provisions of the Income Tax Act. In my view, the language in s 22 as read with paragraph 11 of the 22nd schedule to the Income Tax Act is clear and unambiguous and shows an intention to impose the tax in the manner done. The taxable income of a special mining lease holder must be determined in accordance with the 22nd Schedule.

[74] Per the words of LORD CAIRNS in *Partington* v *A-G supra,* no matter how great the hardship may appear to the judicial mind to be, if the applicant comes within the letter of the law, in this case paragraph 11 of the 22nd Schedule to the Income Tax Act, then the applicant must be taxed. In the face of the clear provisions of paragraph 11 of the 22nd Schedule to the Income Tax Act, which also cover instances where income is received in any currency other than the currency in terms of which the applicant elected to maintain its books, I fail to find a legal basis to infer that the Legislature intended the applicant to benefit under s 4A(10) of the Finance Act. I am obliged by the law and by judicial precedent to interpret the statute in light of what is clearly expressed.

[75] This accords with the position of the law in as far as interpretation of tax statutes is concerned. In addition to the cases I have already alluded to above, I can only but borrow the words of GUBBAY CJ in *Commissioner of Taxes* v *CW (Pvt) Ltd* 1989 (3) ZLR 361 (S) at 372D-E, that:

> "Generally speaking, where taxation is concerned, it has to be acknowledged that justice and equity have little significance. If the language of the statute is plain the court must give effect to it, even if the result to the taxpayer is harsh and unfair."

[76] The question of ensuring fair distribution of the burden of taxation falls squarely on the Legislature. This may be a case where the Legislature, for want of foresight or any other reasons, has omitted to make specific provisions, in relation to the co-existence of paragraph 11 of the 22nd schedule to the Income Tax Act and s4A (10) of the Finance Act. However, sight should never be lost that this is in the province of the Legislature. This may well be an appropriate case for the Legislature to attend to the necessary legislative framework, if it is so inclined, in the spirit of ease of doing business and promoting investment in this country.

[77] On the basis of the foregoing reasons, I hesitate to find that the applicant has established a clear right entitling it to a final interdict. As I see it, the first respondent's actions were within the confines of what it is legally empowered to do. It is a fundamental principle of our law that one cannot interdict a lawful process. In light of my conclusion that the first requirement has not been satisfied, this is dispositive of this matter and it is therefore not necessary for me to relate to the other requirements for a final interdict.

[78] In the result, I find that no case has been made for the confirmation of the provisional order. The provisional order ought to be discharged. On the question of costs, it is trite that costs follow the outcome.

DISPOSITION

[79] Consequently, it is ordered that

1. The provisional order granted on the 2nd of December 2024 be and is hereby discharged with costs.

MUSHURE J: .....

Gill, Godlonton & Gerrans, applicant's legal practitioners
Zimbabwe Revenue Authority Legal Services Division, first respondent's legal practitioners